CLAUDE TRADING SYSTEM (v4)

Complete Framework

Long-Term Equity Appreciation | 3–10 Year Horizon

EXECUTIVE SUMMARY

This document is a repeatable stock-selection operating system for long-term equity investing over a 3–10 year horizon. It uses a bottom-up, quality-at-reasonable-price approach that ranks businesses through a weighted indicator framework, converts those scores into clear **BUY** or **AVOID** decisions, and then links those decisions to entry timing, position sizing, and exit discipline.

- Tier 1 indicators drive the outcome because they measure the durability of cash generation, growth quality, competitive strength, revenue visibility, and margin structure.
- Tier 2 indicators confirm business quality and execution, while
- Tier 3 indicators help refine timing and valuation without overriding the core fundamental case.

The Composite Score translates all three tiers into a score out of 100, which then maps to decision thresholds, sizing rules, and monitoring requirements. A limited macro-overlay adjusts urgency and exposure when conditions are unfavorable, but it does not replace business-level analysis. The goal is to make every decision auditable, consistent, and resistant to emotion.

PART 1 — PHILOSOPHY & SCOPE

This operating system targets long-term equity appreciation over a 3–10 year horizon through a quality-at-reasonable-price approach. Stock selection is bottom-up, while a limited macro-overlay adjusts conviction and sizing without overriding business fundamentals.

Core Principles / Hard Rules

1. **Free cash flow is the most reliable long-term value signal — it is harder to manipulate than earnings and directly funds compounding.**
2. **Quality compounds; average reverts. The goal is to own businesses with durable advantages, not to time markets.**
3. **Fundamentals determine direction. Technicals refine timing. Never reverse that hierarchy.**
4. **No single indicator is sufficient. Confluence of signals across tiers is where real edge lives.**
5. **Explicit rules prevent emotional override. Every decision — entry, sizing, exit — follows a defined process.**

Scope & Applicability

- This system applies to individual equities across all market caps.
- Sector-specific adaptations are noted where standard indicators do not apply (e.g., financials, industrials, energy).
- It is not designed for options, ETFs, short selling, or time horizons under 12 months.

How to Use This System

1. Identify a candidate stock that fits the scope of the system.
2. Score all Tier 1 indicators first. If the Tier 1 weighted average is below 3.0, stop and reject the idea.
3. If Tier 1 passes, score Tier 2 and Tier 3 indicators and calculate the Composite Score.
4. Apply the decision thresholds to classify the stock as Strong Buy, Buy, Watch List, Avoid, or Pass.
5. If the stock qualifies for purchase, apply the entry checklist, implied return test, and position-sizing rules.
6. Document the decision, key risks, and review triggers at the time of entry.
7. Re-score holdings on the required review schedule and use the sell rules and maintenance process to keep the system current.

PART 2 — INDICATOR FRAMEWORK & SCORING

Once the investment universe is defined, the next step is to score each stock consistently. Every indicator receives a 1–5 score, which is multiplied by its weight to produce a weighted contribution. The sum of all weighted contributions becomes the Composite Score out of 100.

Score	Meaning
5	Exceptional — top quintile, strong positive signal
4	Good — above average, mild positive signal
3	Neutral — average, neither confirms nor disqualifies
2	Weak — below average, mild negative signal
1	Poor — bottom quintile, red flag

Tier 1 — Highest Predictive Weight (70% of Decision)

Tier 1 drives the decision because it measures the core economics of the business. A stock must earn at least a 3.0 Tier 1 weighted average to continue through the process.

Indicator	Wt	Scoring Rubric (1–5)	Sector Adaptation
Free Cash Flow Yield & Trend	20%	5=FCF yield >6% expanding YoY; 4=yield 4–6% stable/growing; 3=yield 2–4% flat; 2=yield <2% or declining; 1=negative FCF or structural burn	Financials: substitute ROE trend vs. peers. Early-stage growth: use FCF margin trajectory direction.
Revenue Growth Consistency	15%	5=15%+ CAGR, <15% variance over 5 yrs; 4=10–15% CAGR low variance; 3=5–10% CAGR moderate variance; 2=<5% CAGR or high variance; 1=declining or serial misses	Cyclicals (energy/materials): normalize for commodity cycles. Use volume growth as secondary check.
Competitive Moat Quality	15%	5=Wide moat — multiple reinforcing advantages; 4=Narrow but durable — one strong advantage; 3=Mild moat, contestable; 2=No clear moat, competes on price; 1=Actively losing position	Use Morningstar moat ratings as cross-check. Moat must be forward-looking, not just historical. For small/mid caps where Morningstar coverage is absent, the following cross-check is MANDATORY: (a) Pricing power test: has the company raised prices above CPI in the past 5 years without material volume loss? (b) Gross margin vs. industry median: >5pp above median is evidence of pricing power (score +1 confidence); (c) Revenue retention/churn: net revenue retention >110% (SaaS) or multi-year customer tenure and contract length; (d) Switching cost evidence: integration depth, data lock-in, or retraining/migration costs that prevent defection. A score of 4 or 5 requires positive evidence on at least two of the four tests above.
Revenue Visibility (ARR/RPO/ Backlog/ Contracted)	10%	5=>80% of next-12mo revenue under contract/recurring; 4=60–80%; 3=40–60%; 2=20–40%; 1=<20% (fully transactional)	NOTE: The 5-point rubric thresholds (80%+ ARR = score 5) are calibrated for SaaS and subscription businesses. Non-subscription businesses must be benchmarked against sector peers rather than these absolute thresholds. Sector adaptations: Industrials/defense: backlog-to-revenue ratio (>3x backlog = score 5); Consumer staples: repeat purchase rate and private-label loyalty; Healthcare: formulary coverage, contract renewal rates, and payer concentration; Financials: deposit stability and net interest margin predictability. For cyclical businesses, use the most recent full-cycle average, not peak-cycle figures.
FCF Margin Trend	10%	5=FCF margin >25% expanding; 4=15–25% stable/expanding; 3=5–15% flat; 2=<5% or contracting; 1=Negative and deteriorating	Capital-intensive businesses (utilities, telco): benchmark within sector, not absolute.

Tier 2 — High Importance (23% of Decision)

Tier 2 indicators confirm business quality, capital discipline, and market sponsorship. Strong readings increase conviction, while weak readings require a clear explanation before capital is committed.

Indicator	Wt	Scoring Rubric (1–5)	Sector Adaptation
Management Quality & Capital Allocation	8%	5=Founder/operator, exemplary FCF deployment, no dilution; 4=Strong track record, minor concerns; 3=Mixed or new CEO; 2=Value-destructive M&A or excess dilution; 1=Serial misallocator or governance red flags	Review 5+ years of capital allocation. New CEOs default to 3 until track record established.
ROIC vs. WACC Spread	6%	5=ROIC >20%, above WACC by >10pp; 4=ROIC 15–20%, above WACC 5–10pp; 3=ROIC modestly above WACC; 2=ROIC below or converging to WACC; 1=ROIC persistently below WACC	Asset-heavy: use ROCE. Financials: use ROE vs. cost of equity.
Relative Strength vs. SPY (6–12 mo.)	3%	5=Outperforming SPY by >15%; 4=Outperforming 5–15%; 3=In line (±5%); 2=Underperforming 5–15%; 1=Underperforming >15%	During sector rotations, compare to sector ETF (e.g., XLE for energy) rather than SPY.
Valuation Multiples (P/FCF, EV/EBITDA, PEG)	6%	5=PEG <1.0 AND P/FCF below 5-yr avg; 4=Modest discount to history/peers; 3=In line with peers; 2=Premium with declining fundamentals; 1=Extreme multiple with deteriorating business	Use P/FCF as primary multiple; supplement with EV/EBITDA for capital-intensive sectors and PEG for growth names. Compare against company's own 5-year history and sector peers. A cheap multiple alone does not justify purchase; evaluate in the context of FCF trend and ROIC.

Tier 3 — Confirmatory Weight (7% of Decision)

Tier 3 indicators help refine timing, valuation, and sentiment. They can improve or reduce confidence at the margin, but they cannot rescue a weak fundamental case.

Indicator	Wt	Scoring Rubric (1–5)
Technical Trend Structure	4%	5=Price above 200-week MA, MACD positive, Supertrend bullish — all aligned; 4=Most signals aligned; 3=Mixed; 2=Below 200-week MA or MACD negative; 1=All bearish (timing delay only — not a sell signal if fundamentals are intact)
Analyst Consensus & Estimate Revisions	2%	5=Strong buy + upward revisions 90 days; 4=Buy, stable estimates; 3=Mixed; 2=Hold/sell, downward revisions; 1=Strong sell, multiple downgrades (sentiment check only)
Volume & Accumulation Signals	1%	5=Strong accumulation on high volume 3–6 months (A/D line rising); 4=Mild accumulation; 3=Neutral; 2=Distribution; 1=Heavy distribution (confirms interest only; not predictive alone)

PART 3 — COMPOSITE SCORE & DECISION RULES

Composite Score = (∑ score × weight) × 20 |

Correct method: multiply each indicator's raw score (1–5) by its individual weight, sum all contributions, then multiply by 20.

Do NOT average within tiers and apply tier percentages separately — that math is incorrect.

Example: [(FCF Yield×0.20)+(Rev Growth×0.15)+(Moat×0.15)+(Rev Visibility×0.10)+ (FCF Margin×0.10)+(Mgmt×0.08)+(ROIC×0.06)+(Valuation×0.06)+(Rel Strength×0.03)+ (Technical×0.04)+(Analyst×0.02)+(Volume×0.01)]×20

After scoring all indicators, convert the result into an action. The thresholds below determine whether the stock qualifies for purchase, should remain under observation, or should be classified as **STRONG BUY**, **BUY**, **WATCH LIST**, **AVOID**, or **PASS**.

Score Range	Decision	Action
80–100	**STRONG BUY**	Initiate full position per sizing rules
65–79	**BUY**	Initiate half position; build on confirmation
50–64	**WATCH LIST**	Monitor for improvement; no capital deployment
35–49	**AVOID**	Fundamental concerns; revisit in 2 quarters
<35	**PASS**	Do not invest; remove from active coverage

Hard Rules (cont'd)

6. **A stock with a Tier 1 weighted average below 3.0 cannot qualify as Buy or Strong Buy. [Tier 1 weighted average = (∑ Tier 1 score × weight) ÷ 0.70. A floor of 3.0 is equivalent to a Tier 1 raw weighted contribution of ≥2.10.]**
7. **Any Tier 1 indicator scored at 1 requires a mandatory qualitative review before any decision.**
8. **Two or more Tier 1 indicators scored at 2 or below automatically classify the stock as Avoid.**

PART 4 — ENTRY RULES

A buy decision does not automatically create an entry. This section applies timing and risk controls so capital is deployed only when business quality, valuation, and market structure are aligned.

Cyclical Business Adjustment

For cyclical businesses in energy, materials, and industrials, the Tier 1 floor of 3.0 must be evaluated on normalized mid-cycle metrics, not trough figures. A high-quality cyclical at the bottom of its cycle will frequently fail the FCF Yield and Revenue Growth rubrics based on current figures alone — which is precisely when long-term entry opportunity is highest.

Rule: If FCF yield or revenue growth is temporarily depressed due to a documented commodity or demand cycle, the analyst may substitute a 5-year average or mid-cycle estimate for trough-year figures, with explicit written documentation of the cycle rationale. The substituted estimate must be conservative (below the historical mid-cycle average, not above it) and reviewed at the next quarterly re-score. This adjustment applies to Tier 1 scoring only and does not relax the hard rules in Part 3.

Entry Checklist / Hard Rules (cont'd)

9. **Composite Score is 65 or higher.**
10. **Tier 1 weighted average is 3.0 or higher.**
11. **No Tier 1 indicator is scored at 1.**
12. **Price is above the 200-week moving average, or has reclaimed it within the past 6 months after a sustained decline.**
13. **Monthly MACD is positive or turning positive.**
14. **No near-term binary event risk is present unless the thesis explicitly includes it.**

NOTE: *Before entry, calculate the implied 5-year return at the current price assuming your base-case FCF growth. If the implied annual return is below 10%, the margin of safety is insufficient regardless of indicator scores.*

PART 5 — POSITION SIZING

Position sizing converts conviction into exposure. Higher-quality, better-scoring ideas earn more capital, while portfolio rules prevent a single mistake from causing outsized damage.

Composite Score	Max Initial Position	Max Full Position
80–100 (Strong Buy)	5% of portfolio	8% of portfolio
65–79 (Buy)	3% of portfolio	5% of portfolio
Below 65	0%	0%

Sizing Modifiers

- Insider ownership >5% with recent open-market purchases: +1% to max position.
- Debt/FCF ratio above 4x: –1% to max position (fragility discount).
- Single customer >30% of revenue: –1% to max position.
- Position in same sector as existing holding >5%: cap combined sector exposure at 20% of portfolio.
- Macro headwind active (see Part 7): –1% to all new positions in affected sectors.

Hard Rules

- No single position >8% of portfolio at cost.
- No single sector >25% of portfolio.
- Minimum 12 positions in a fully invested portfolio.
- Cash allocation: 5–15% at all times (dry powder and risk management).
- **Scarce qualified ideas:** If fewer than 12 qualifying ideas (Composite Score ≥65) are available, do NOT lower the scoring threshold to achieve full investment. Hold the difference in cash. Forcing positions below the threshold to reach a target number of holdings is a systematic error that degrades long-term performance.

PART 6 — EXIT & SELL RULES

A repeatable system needs explicit exit rules as much as entry rules. This section separates true deterioration from temporary volatility so positions are trimmed or sold for the right reasons.

Sell Triggers — Fundamental (act within 30 days of confirmation) / Hard Rules (cont'd)

15. **FCF Yield & Trend falls to 1 for two consecutive quarters.**
16. **Competitive moat degrades from durable to absent.**
17. **ROIC falls below WACC for two consecutive years.**
18. **Management quality falls to 1 because of destructive capital allocation.**
19. **Revenue growth turns negative for two consecutive quarters without a credible cyclical explanation (see Part 4 Cyclical Business Adjustment — documented cycle rationale applies here equally).**
20. **Debt-to-FCF exceeds 6x with no credible deleveraging path.**

Sell Triggers — Valuation (trim or sell when price exceeds intrinsic value) / Hard Rules (cont'd)

21. **P/FCF rises above 50x while FCF growth is below 15%.**
22. **Implied 5-year annualized return falls below 7%.**
23. **Position size grows above the maximum full position because of appreciation.**

Hold Through (do NOT sell based on these alone)

- Short-term price decline of 20–30% with no change in Tier 1/2 fundamentals — this is noise.
- One quarter of earnings miss — evaluate cause; only sell if it signals structural deterioration.
- Analyst downgrades — lagging indicator; revisit Tier 1/2 signals instead.
- Market-wide selloff — if fundamentals are intact, this is often an opportunity to add, not sell.
- Narrative shift or negative press — evaluate facts, not sentiment.

Annual Review Process / Hard Rules (cont'd)

24. **Re-score every holding annually, or within 2 weeks of any material earnings release.**
25. **If the Composite Score falls below 50, move the holding to Watch List status and set a 90-day improvement deadline.**
26. **If the Composite Score falls below 35, sell within 30 days.**

PART 7 — MACRO-OVERLAY

The system remains fundamentally bottom-up, but market conditions can affect timing and risk. The macro-overlay modifies position size and entry urgency without changing the underlying business score.

Macro Condition	Effect on System
Rising rate environment (Fed tightening cycle active)	Reduce max position size by 1% for high-multiple growth stocks (P/FCF >40x). Favor FCF yield and low-debt names.
Inverted yield curve (2s/10s inverted >3 months)	Raise cash floor to 10% minimum. No new positions in cyclicals or leveraged businesses. Favor defensive compounders.
Credit spreads widening rapidly (HY spreads >600 bps)	Pause all new entries. Reassess existing holdings with Debt/FCF >3x. Hold cash.
Broad market downtrend (SPY below 200-week MA)	Reduce all new position sizes by 50%. Continue holding fundamentally intact positions. Accumulate Watch List candidates for entry when trend recovers.
Sector-specific regulatory/geopolitical risk	Reduce sector cap from 25% to 15% for affected sector. Re-evaluate moat scores for regulatory dependency.

NOTE: *Macro overlays are temporary modifiers. When the condition resolves, revert to standard sizing. Do **NOT** let macro fear permanently suppress position sizes in fundamentally strong businesses.*

PART 8 — STOCK SCORING TEMPLATE

Use this template to compare multiple candidates side by side. Score each indicator from 1 to 5, calculate each indicator's weighted contribution (score × weight) and sum across all indicators, then record the Composite Score, decision, and key risks.

Indicator	Wt	Stock A	Stock B	Stock C	Stock D	Stock E	Stock F	Stock G	Stock H
TIER 1 — Highest Predictive Weight (70%)									
Free Cash Flow Yield & Trend	20%								
Revenue Growth Consistency	15%								
Competitive Moat Quality	15%								
Revenue Visibility (ARR/Backlog)	10%								
FCF Margin Trend	10%								
TIER 1 WEIGHTED SCORE	**70%**								
TIER 2 — High Importance (23%)									
Management Quality & Capital Allocation	8%								
ROIC vs. WACC Spread	6%								
Relative Strength vs. SPY (6–12 mo.)	3%								
Valuation Multiples (P/FCF, EV/EBITDA, PEG)	6%								
TIER 2 WEIGHTED SCORE	**23%**								
TIER 3 — Confirmatory (7%)									
Technical Trend Structure	4%								
Analyst Consensus & Est. Revisions	2%								
Volume & Accumulation Signals	1%								
TIER 3 WEIGHTED SCORE	**7%**								
COMPOSITE SCORE (out of 100)									
DECISION									
NOTES / KEY RISKS									

PART 9 — WHAT TO AVOID

These exclusions define what the system will not reward.
Avoiding low-quality signals and weak process habits is part of preserving long-term performance.

Avoid	Why
P/E ratio as primary filter	Highly manipulable via accounting; cyclically distorted; says nothing about capital requirements or cash generation.
Analyst 12-month price targets	Studies show ~50% accuracy — barely better than chance. Useful only as a sentiment check.
Earnings surprises as primary signal	Predictive for short-term price movement; noise over 3–5 years. Earnings can be managed; FCF cannot.
Narrative momentum ("AI will change everything")	The most-hyped sectors at any given moment historically underperform over the following decade. Valuation absorbs the narrative quickly.
Averaging down into deteriorating fundamentals	Distinguish price decline (often opportunity) from fundamental deterioration (reason to sell). Never add when Tier 1 scores are falling.
Over-diversification below conviction threshold	Holding 40+ stocks dilutes returns without meaningfully reducing risk. Concentrate in ≥65 composite-score ideas.
Market timing as a primary strategy	Missing the 10 best days per decade cuts long-term returns ~50%. Use macro overlay to adjust sizing only — not to go to cash.

PART 10 — SYSTEM MAINTENANCE

The system should improve through disciplined review, not intuition. Maintenance keeps the rules current, exposes blind spots, and preserves consistency across market cycles.

27. **Quarterly: Review all Watch List names and re-score any holding affected by material news.**
28. **Annually: Complete a full re-score of every portfolio position and review every exit from the prior year.**
29. **After every exit: Record the sell reason and the outcome versus the original thesis.**
30. **After any loss greater than 20% from cost: Run a post-mortem and identify missed warning signals.**
31. **Every 2 years: Review indicator weights and adjust them only with documented evidence from multiple positions over time.**

NOTE: *Do **NOT** change weights reactively after a single loss or win. Changes should be based on a pattern across multiple positions over at least 12 months.*

Performance Benchmarking

The system must be measured against explicit return expectations. **Strong Buy positions (score 80–100) should be tracked against a 12% annualized return expectation over 5 years. Buy positions (score 65–79) should be tracked against a 10% annualized return expectation.** If a cohort of 10 or more exited positions with entry scores ≥80 underperforms 12% annualized on average at 5 years, a formal Tier 1 weight review is required — not optional. Performance data below this threshold constitutes evidence that the weights are miscalibrated. Track every exited position in the table format below.

Ticker	Entry Date	Exit Date	Entry Score	Decision	Actual CAGR	vs. Target	Exit Reason / Thesis Change

Cohort Review Trigger: *When 10 or more positions have been exited from the Strong Buy cohort (score ≥80 at entry), calculate the cohort's annualized return. If the cohort average falls below 12% CAGR, trigger a mandatory Tier 1 weight review per the process in Rule 31. Do NOT adjust weights after individual outcomes — only after cohort patterns across at least 10 exited positions.*

Changes from v3 to v4:

Changes in v4

Fix	What Changed
Composite Score Formula	Replaced the incorrect tier-average formula with the correct weighted sum: `(∑ score × weight) × 20` with a worked example showing all 12 indicator contributions
Valuation Multiples	Moved from Tier 3 (3%) to Tier 2 (6%) — now sits alongside Management, ROIC, and Relative Strength as a confirmed business-quality indicator
Relative Strength weight	Reduced from 6% to 3% in Tier 2 — technicals confirm, not equal, fundamentals
Tier 2/3 labels	Updated to reflect actual indicator weights: Tier 2 → 23%, Tier 3 → 7%
Revenue Visibility rubric	Added explicit note that 80%+ ARR thresholds are SaaS-specific; non-subscription sectors (industrials, consumer, healthcare, financials) benchmark against peers with sector-specific proxies
Competitive Moat cross-check	Added mandatory 4-part rubric for small/mid-caps without Morningstar coverage: pricing power test, gross margin vs. sector median, revenue retention/switching cost evidence, 5-year price history
Part 4 — Cyclical Adjustment	New subsection allowing mid-cycle normalized estimates for energy/materials/industrials at trough, with documentation requirements
Part 5 — Scarce Ideas Rule	New Hard Rule: if fewer than 12 qualifying ideas (≥65) exist, hold cash rather than lower the threshold
Part 10 — Performance Benchmarking	New subsection with explicit targets (12% CAGR for Strong Buy, 10% for Buy) and a tracking table; cohort trigger requiring Tier 1 weight review if 10+ exits underperform